LIVE DATA

VaR Risk Report

Quick Test

Total Value: $10.00M Positions: 2 Confidence: 99% Horizon: 1d Generated: 2026-06-17

VALUE AT RISK	EXPECTED SHORTFALL	REGULATORY CAPITAL	WORST STRESS
$184.9K	$222.4K	$2.49M	-$1.69M
1.85% of book	ES/VaR 1.20x	24.9% of book	Rate Shock 2022

Portfolio Holdings

SYMBOL	NAME	WEIGHT	MARKET VALUE
TLT	iShares 20+ Year Treasury Bond ETF	86.7%	$8.67M
SPY	State Street SPDR S&P 500 ETF Trust	13.3%	$1.33M

VaR Methodology Comparison

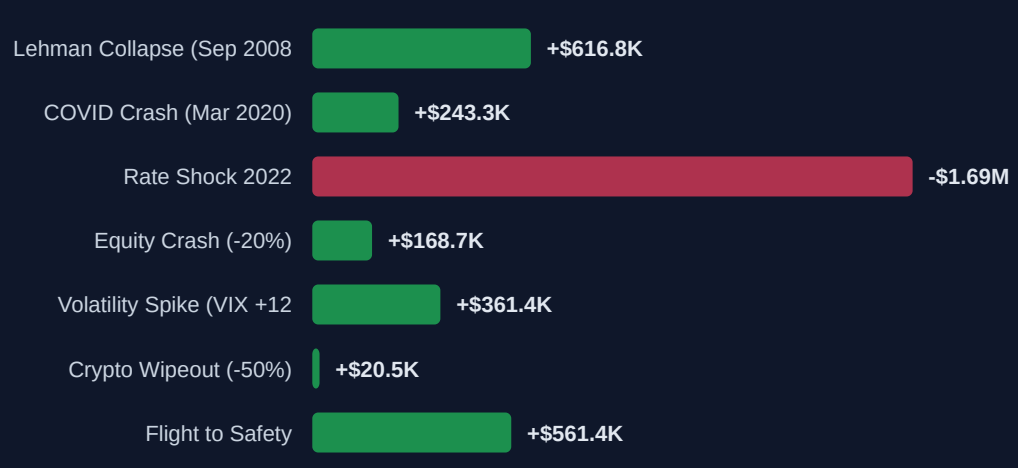
99% confidence · 1d horizon · 1 methods selected



METHOD	VAR	ES	ES/VAR	WORST
Historical	$184.9K	$222.4K	1.20x	-$301.9K

Stress Testing

1/7 scenarios breach the 99% VaR



AI Interpretation & Analysis

LLM-powered portfolio assessment

Strengths

- The portfolio demonstrates strong performance during major historical stress events like Lehman Collapse and COVID Crash, indicating resilience in crisis scenarios.
- The backtest results show only 1 exception in the green zone, suggesting the VaR models are well-calibrated and reliable.
- The portfolio benefits from a significant allocation to TLT (86.7%), which provides stability and acts as a hedge against equity market downturns.
- Multiple VaR methodologies (parametric, historical, Monte Carlo, filtered, EVT) show consistent results, indicating robust risk measurement.

Risk Concerns

- The portfolio is highly concentrated in TLT (86.7%), creating significant interest rate risk and lack of diversification across asset classes.
- The portfolio breaches during the Rate Shock 2022 stress test, losing $1.69M, indicating vulnerability to rising interest rate environments.
- The regulatory capital requirement (FRTB L-VaR) of $2.49M represents nearly 25% of the portfolio value, which is quite high.
- The heavy allocation to long-dated Treasuries (TLT) exposes the portfolio to duration risk and potential losses if interest rates rise.

Recommendations

- Diversify the portfolio beyond Treasuries and equities to include other asset classes like commodities, corporate bonds, or real assets to reduce concentration risk.
- Implement interest rate hedging strategies such as interest rate swaps or shorter-duration bond positions to mitigate vulnerability to rising rates.
- Consider adding alternative investments with low correlation to traditional fixed income and equities to improve overall portfolio diversification.
- Review and potentially reduce the regulatory capital burden by adjusting portfolio composition to be less sensitive to FRTB calculations.

Executive Summary

The portfolio shows strong stress test performance and reliable VaR modeling but suffers from high concentration risk and vulnerability to interest rate shocks. Immediate diversification and hedging strategies are recommended to address these significant weaknesses.